From: Yardeni QuickTakes <yardeni-research@ghost.io>
Subject: GLOBAL MARKETS CALL: Air Coming Out Of AI Bubble
Date: 1 hour ago

GLOBAL MARKETS CALL: Air Coming Out Of AI Bubble

YARDENI QUICKTAKES

GLOBAL MARKETS CALL: Air Coming Out Of AI Bubble

By Ed Yardeni & Toby Hearst • 8 Nov 2026

View in browser

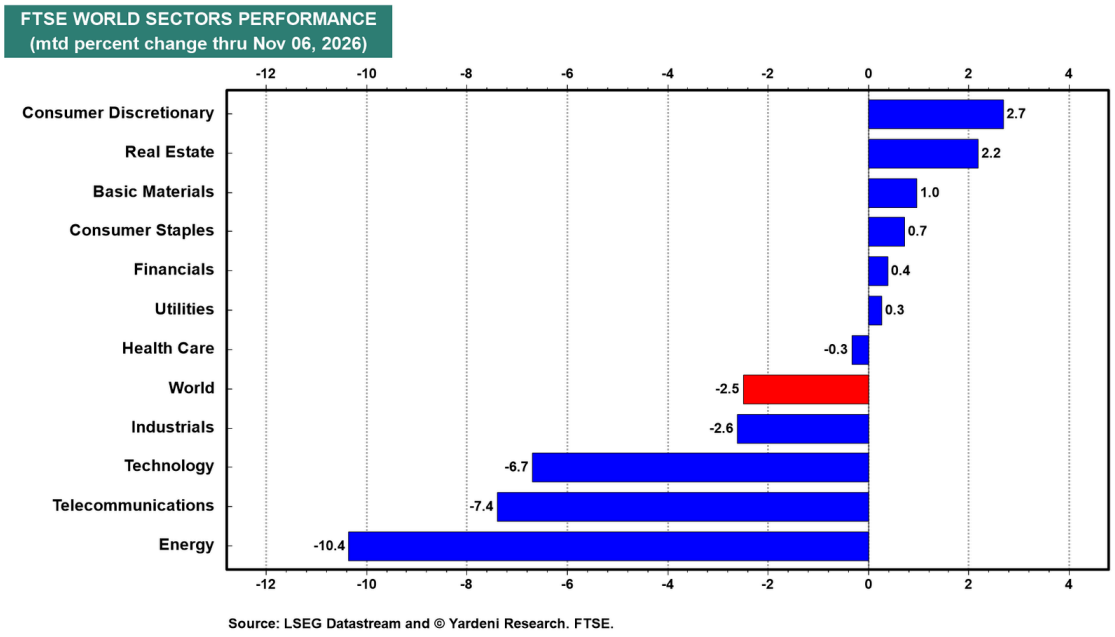


Photo by Gaël Gaborel - OrbisTerrae / Unsplash

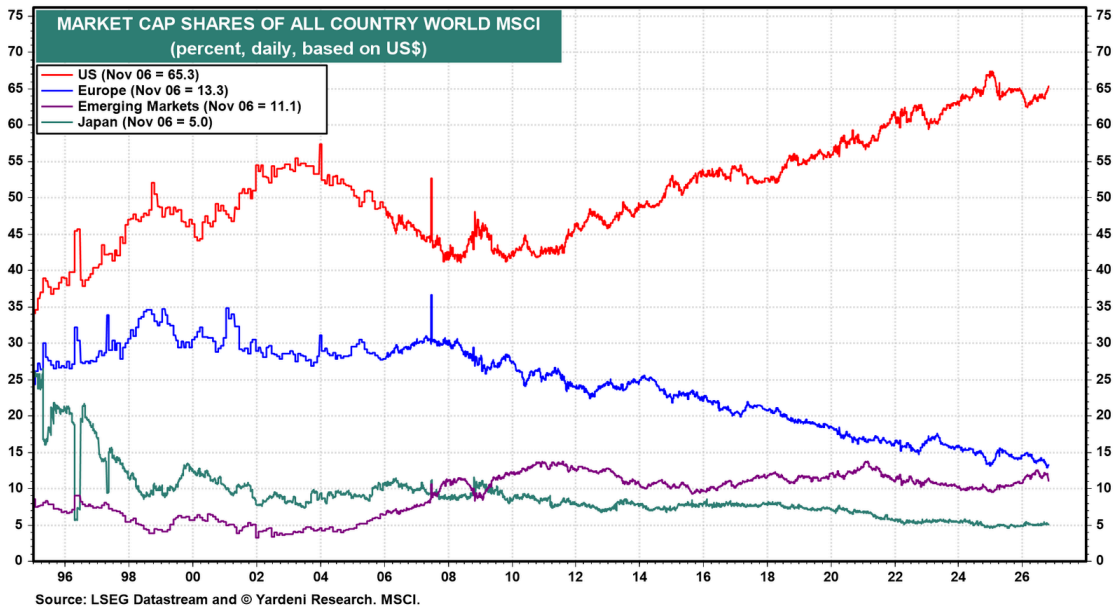
The AI selloff went global last week. In the US, Democrats swept Congress in the midterm elections on Tuesday, November 3, surfing on a huge wave of voter hostility toward new data centers. On Thursday, investors dumped the AI trade worldwide, and Asia's chipmakers took the brunt of the wipeout. Overseas earnings are still climbing, but valuations keep falling. We see the AI backlash as a speed bump, not a roadblock, at home and abroad. Here's more:

I. Stock Market Performance

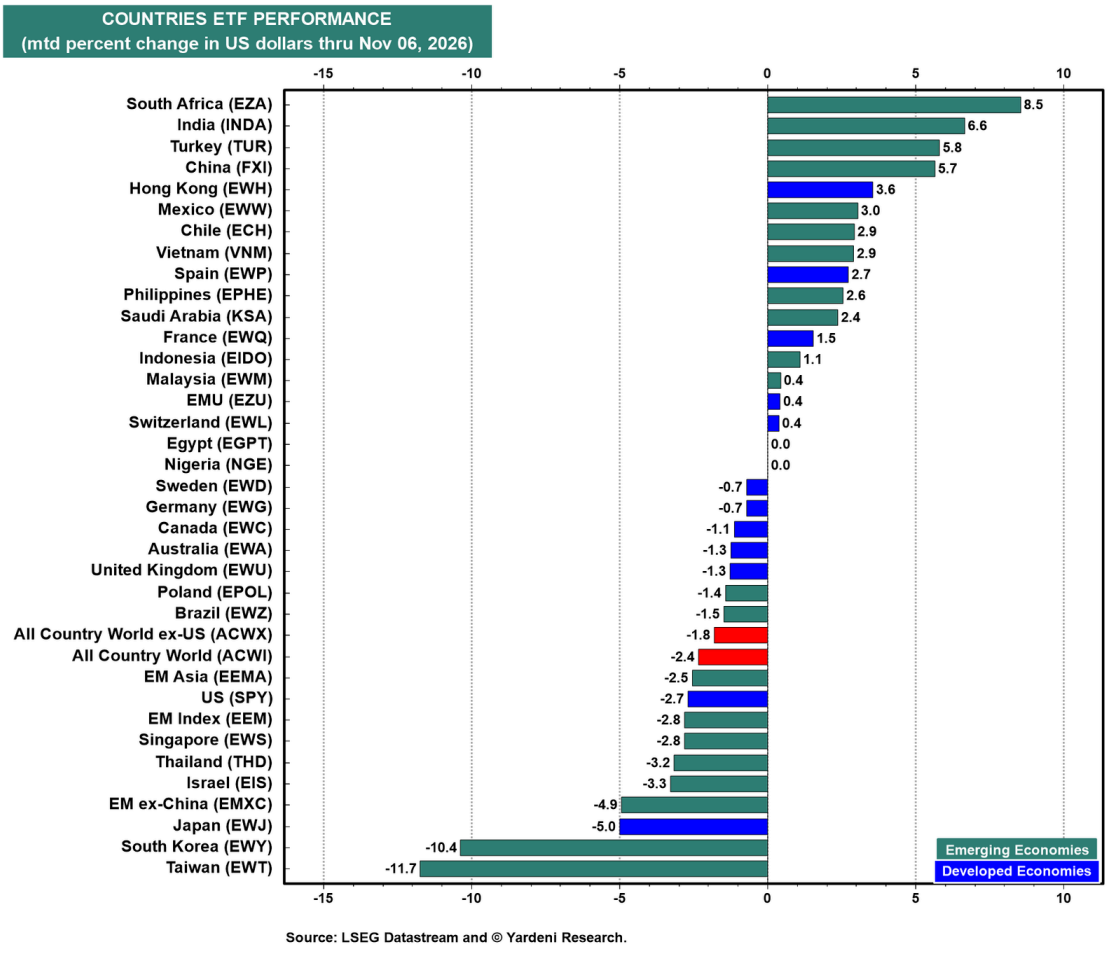
Global sector leadership flipped this week according to the FTSE indexes (chart). Defensive sectors held up best, with Real Estate up 2.2% and Consumer Staples up 0.7%, while Consumer Discretionary led with a 2.7% gain. Technology (-6.7%) and Telecommunications (-7.4%) were near the bottom. Energy was the worst performer, down 10.4%, as fears of a post-midterm re-escalation in the Middle East faded. The FTSE World index fell 2.5%.



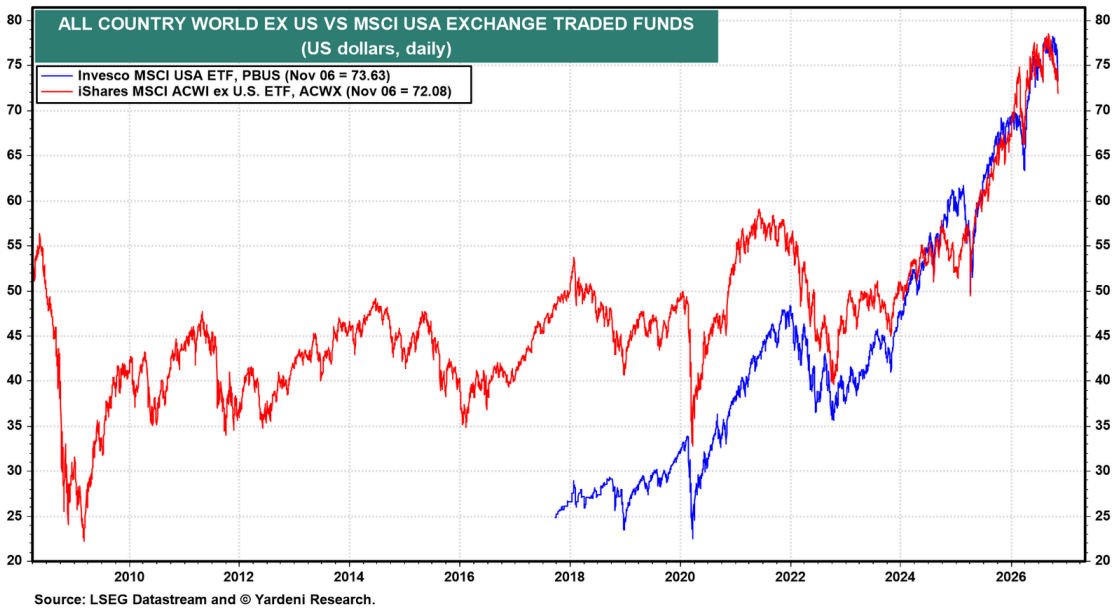
The US has been gaining ground since we lowered our "Go Global" investment strategy to market weight on October 18. The US MSCI's share of the All Country World MSCI's market cap has climbed to 65.3%, up from 62.4% in March (chart). The gains have come at the expense of everyone else. The Emerging Markets MSCI's share has dropped to 11.1% from 12.1% in mid-October.



The AI-heavy markets were at the bottom of the country ETF rankings this week (chart). Taiwan fell 11.7% in dollars, South Korea 10.4%, and Japan 5.0%. This year's laggards caught bids. South Africa led with an 8.5% gain, followed by India at 6.6%. The US ETF fell 2.7%, slightly worse than the All Country World ex-US ETF's 1.8% decline.

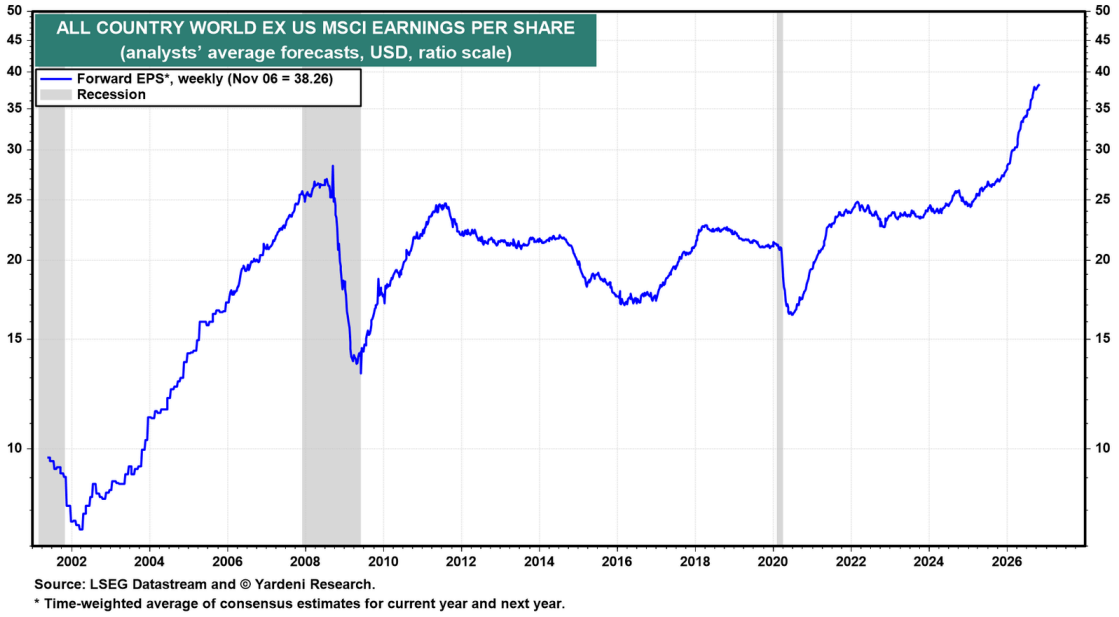


Both the US and overseas ETFs have pulled back from their recent highs (chart). Both remain in solid uptrends that began in late 2022.

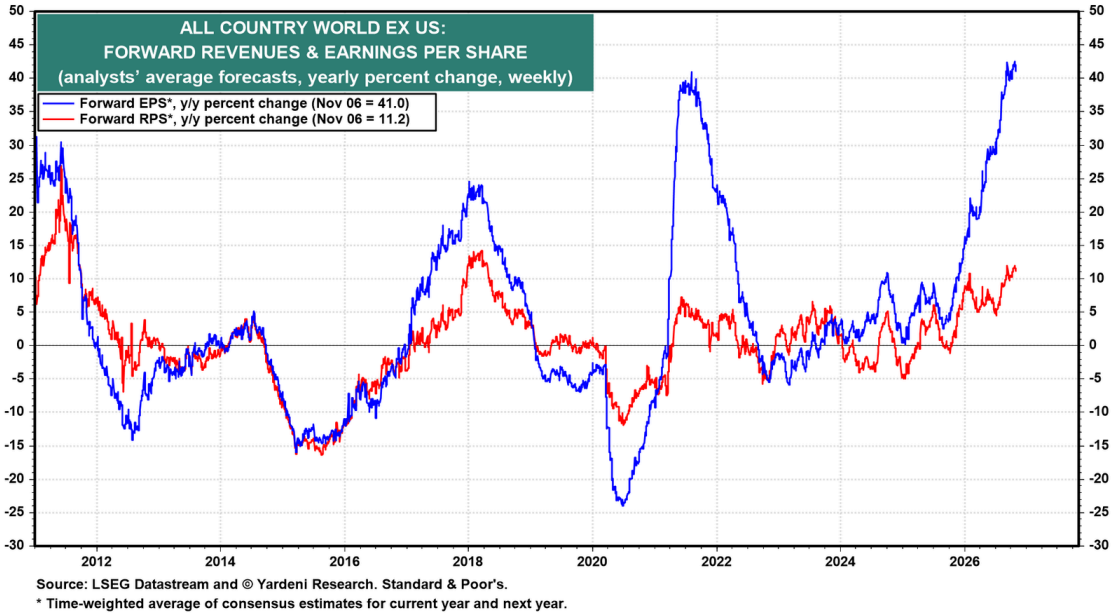


II. Stock Market Earnings & Valuation

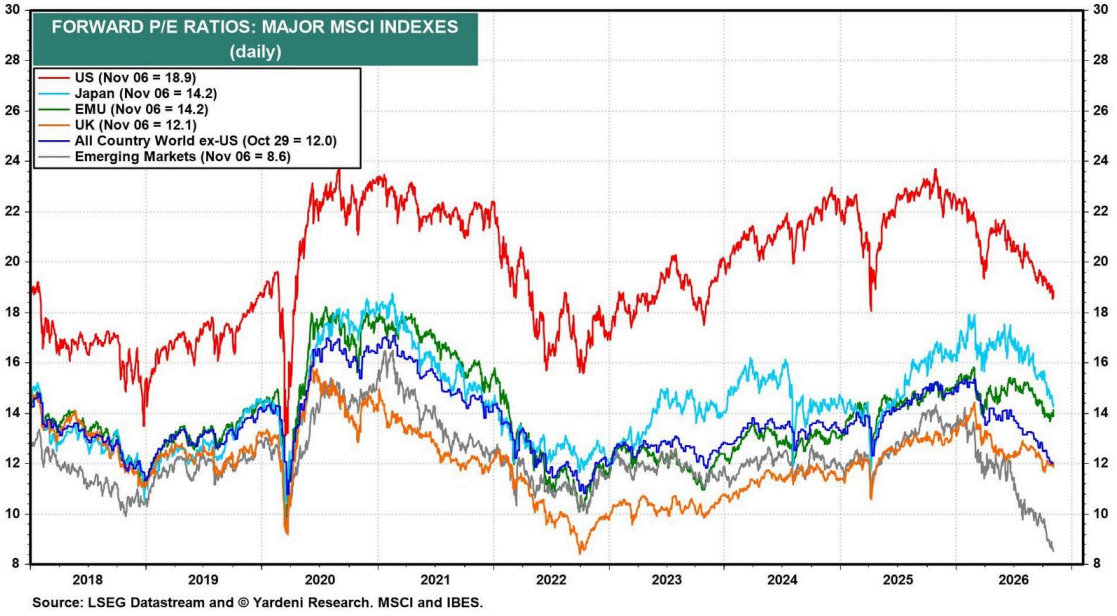
The All Country World ex-US MSCI's forward earnings rose to yet another record high this week (chart). It has soared since 2025 after going nowhere for most of the previous decade.



Forward earnings is up 41.0% y/y, while forward revenues is up 11.2% (chart). During solid economic expansions, forward revenue growth tends to hover around 5%. Today's double-digit pace confirms an economic boom underpinning the global bull market.

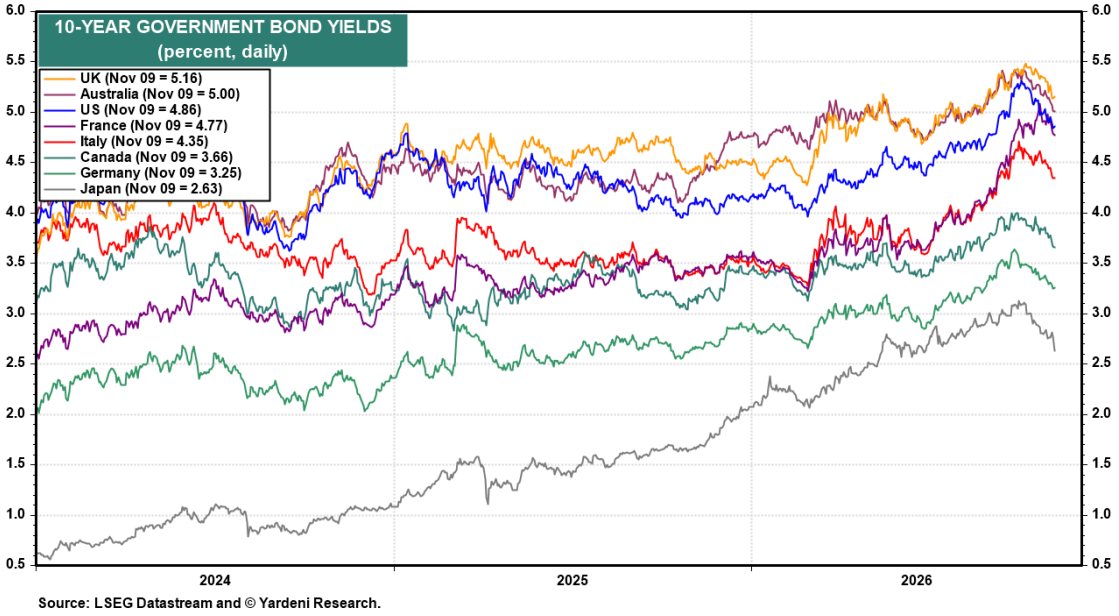


Valuations continue to fall even as earnings soar (chart). The US MSCI's forward P/E is down to 18.9. Japan's has dropped to 14.2 from 14.7 a week ago. The All Country World ex-US trades at 12.0. The Emerging Markets MSCI has slipped to single digits and is at 8.6 now.



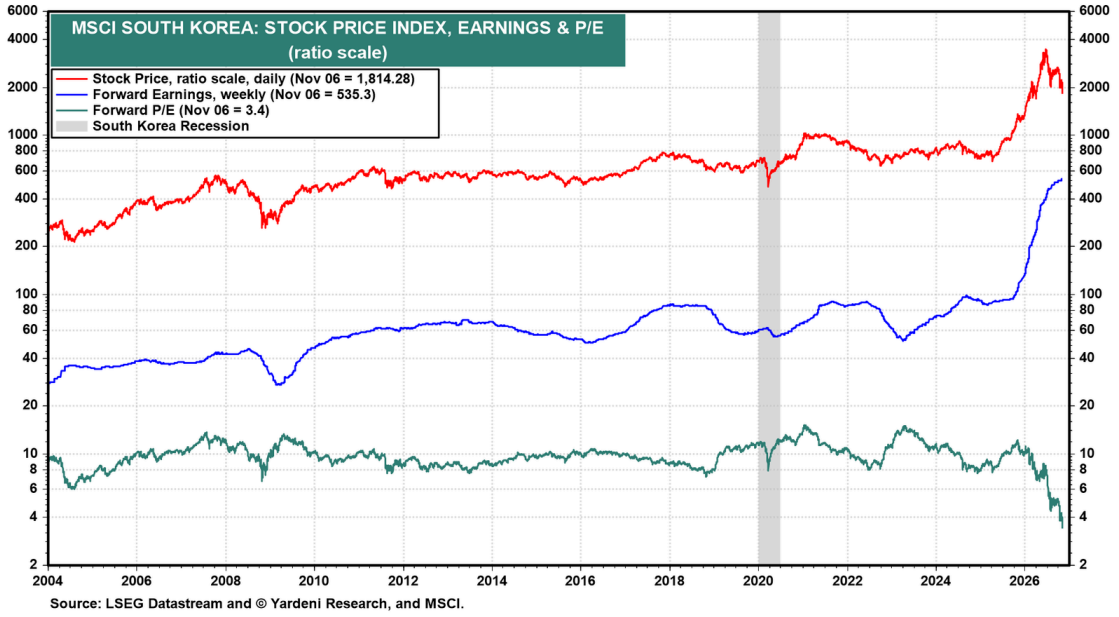
III. Bonds

Sovereign bonds continued to rally worldwide this week as investors fled the AI trade (chart). The US 10-year Treasury yield fell to 4.86%. The UK's yield remains the highest in the group, at 5.16%, followed by Australia's 5.00%. France's yield has dropped to 4.77%, back below the US yield. Japan's yield is down to 2.63%.

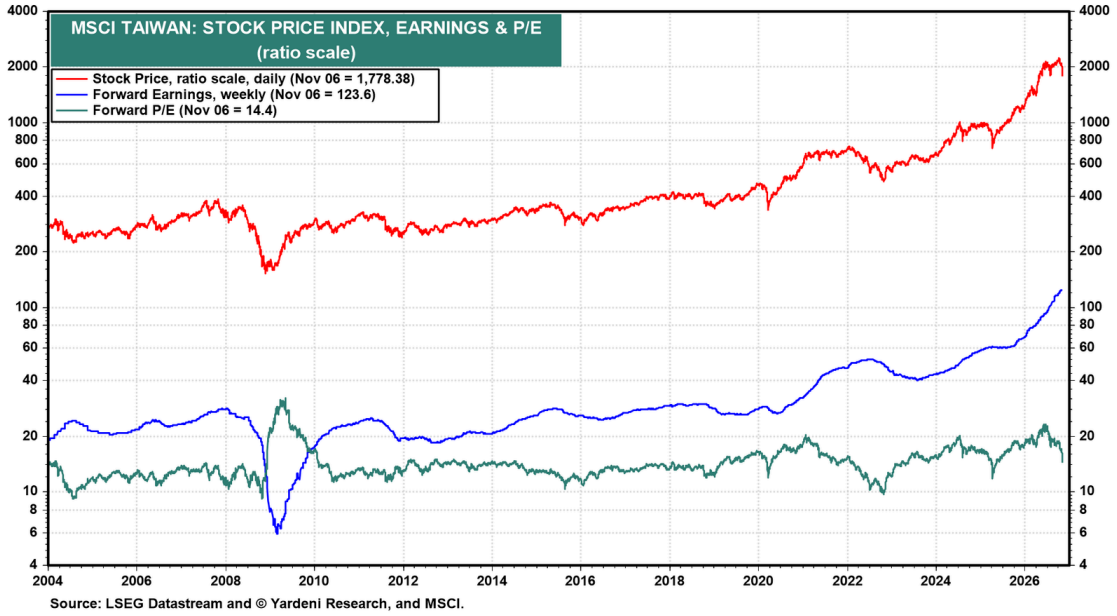


IV. Focus on South Korea & Taiwan

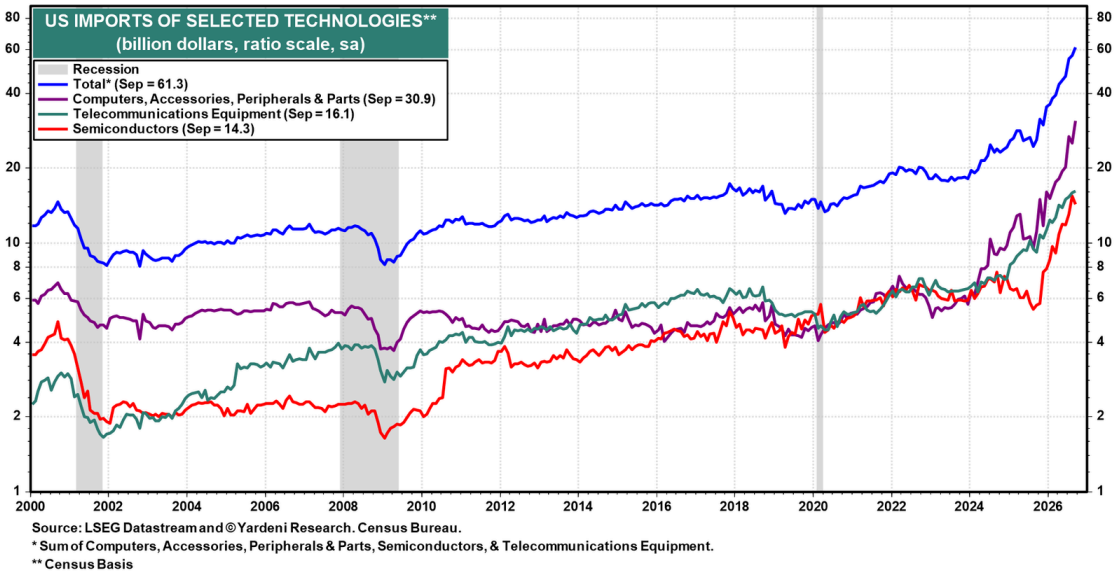
South Korea's forward earnings is still rising to record highs, though more slowly than earlier in the year (chart). The stock market isn't buying it. The MSCI South Korea stock price index is down more than 45% from its record high. Its forward P/E has collapsed to 3.4, the lowest in over 20 years. Investors are betting that analysts will have to slash their earnings estimates.



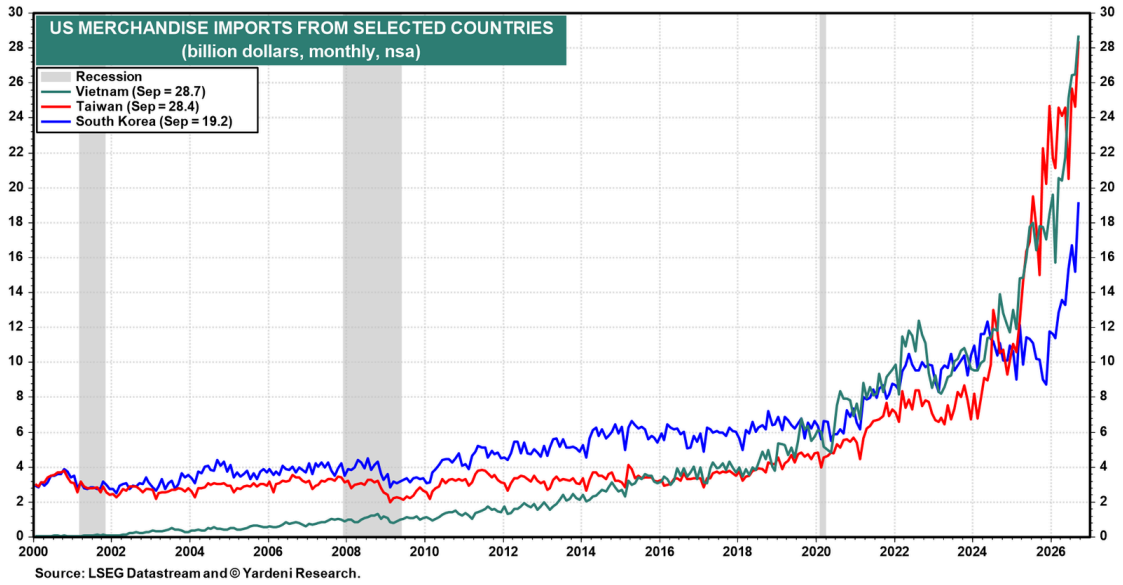
Taiwan tells the same story, but with a more sensible valuation. Its forward earnings is also at a record high. Its forward P/E has dropped to 14.4 from 23.2 earlier this year (chart).



Fundamental data suggest South Korea and Taiwan should continue to benefit from US demand for technology hardware. US imports of selected technologies rose to a record $61.3 billion in September (chart).



Asia supplies much of that hardware. US imports from Vietnam rose to $28.7 billion in September, and imports from Taiwan rose to $28.4 billion (chart). Imports from South Korea rose to $19.2 billion. A slower US data center buildout would delay that demand, not derail it. We would view a slower pace as more sustainable over a longer period of time.



💡

Join the discussion with Ed below! To leave comments or questions, log in to the Yardeni QuickTakes website and post them at the end of the QuickTakes article. Paid members' contributions may be featured in our segment, "Ed Answers Your Questions".

More like this | Less like this | Comment

Copyright (c) Yardeni Research, Inc. Please read complete *copyright and hedge clause*.

Yardeni QuickTakes © 2026 – Unsubscribe